

GST & Union Budget

A Brief on GST

GST is one indirect tax for the whole nation, which will make India one unified common market. GST is a single tax on the supply of goods and services, right from the manufacturer to the consumer. Credits of input taxes paid at each stage will be available in the subsequent stage of value addition, which makes GST essentially a tax only on value addition at each stage. The final consumer will thus bear only the GST charged by the last dealer in the supply chain, with set-off benefits at all the previous stages.

It will be a national sales tax that will be levied on either consumption of goods or use of services. It will replace 16 current levies -seven central taxes like excise duty and service tax and nine state taxes like VAT and entertainment tax, this will lead to one market with one tax rate. France was the first country to implement the GST in 1954.

GST Council finalises the tax rates on Goods & Services under the 4-slab structure

GST Council finalised tax rates on goods and services under the four-slab structure with essential items of daily use being kept in the lowest bracket of 5 percent.

Key Points on Union Budget

In a parliamentary democracy like India, where the Constitution is the supreme document with defined roles for the government to function effectively, it is imperative for the government to work for the welfare of the state and its citizens. To discharge these functions effectively and upgrade the country's economic and social structure, the government requires adequate resources.

Article 112: A statement of estimated receipts and expenditure of Govt. of India has to be laid before the parliament.

Article 77 (3): The union Finance Minister of India has been made responsible by the President of India to prepare the annual financial statement and present it in Parliament.

Article 114: The government can withdraw money from the Consolidated Fund of India only on approval from Parliament.

There are three major categories of government accounts:

1. Consolidated Fund
2. Contingency Fund
3. Public Account

Nodal agency responsible for producing the Union Budget: The department of economic affair under the Ministry of Finance.

The Annual Financial Statement or The Budget contains:

- Estimates of expenditure.
- Ways and means to raise the revenue.
- Actual figures for preceding year.
- Budget and revised figures for the current year.
- Budget estimates for the following year.

In parliament, the budget goes through 5 stages:

1. Presentation of budget with Finance Minister's speech.
2. General discussion of the budget.
3. Voting on demand for grants in Lok Sabha
4. Passing of appropriation bills.
5. Passing of Finance bills.

The Parts of Budget:

- (1) Revenue Budget: All 'current receipts' such as taxation, surplus of public enterprises, and 'expenditures' of the Government.
- (2) Capital Budget: All 'Capital receipts' and 'expenditure' such as domestic and foreign loans, loan repayments, foreign aid etc.

The inspection of budget proposals:

- ❖ Committee on Estimates
- ❖ Constituted for the first time in 1950, is a Parliamentary Committee consisting of 30 Members
- ❖ Term of office of the Committee is one year.
- ❖ The functions of the Estimates Committee are:
 - (a) To report what economies, improvements in organisation, efficiency or administrative reform, consistent with the policy underlying the estimates may be effected.
 - (b) To suggest alternative policies in order to bring about efficiency and economy in administration;

- (c) To examine whether the money is well laid out within the limits of the policy implied in the estimates;
- (d) To suggest the form in which the estimates shall be presented to Parliament.

Cut Motion:

- ❖ A veto power given to the members of the Lok Sabha to oppose a demand in the financial bill discussed by the government.
- ❖ There are three types of Cut Motions:
 - (1) Disapproval or Policy Cut: The amount of the demand be reduced by Re. 1.
 - (2) Economy Cut: the amount of the demand be reduced by a specified amount to affect economy in the expenditure.
 - (3) Token Cut: The amount of the demand be reduced by Re. 100.
The bills are forwarded to the Rajya Sabha for comment.
Rajya Sabha is bounded to return the bill within 14 days.
The Lok Sabha, however, is not obligated to accept the comments and the Rajya Sabha cannot delay passage of these bills.

Important Facts related to Budget:

- The first Union Budget of Independent India was presented by the first Finance Minister of Independent India, Sir R.K. Shanmugham Chetty, on November 26, 1947.
- Indira Gandhi, the then prime minister who also held the finance portfolio, she became the first woman finance minister of India to present a Budget in Parliament.
- In 2001, Yashwant Sinha, broke the colonial practice of announcing the Union Budget at 5 in the evening. Instead, he delivered his Budget speech at 11 am on the last working day of February.

- Former prime minister of India Morarji Desai, who presented 10 Union Budgets in his role as finance minister, is credited with presenting the highest number of Union Budgets in the history of Independent India.
- The Budget presented by Finance Minister Arun Jaitley for the financial year 2017-18 was unprecedented in that, for the first time ever, a Railway Budget was not presented separately. This practice was discontinued and both Union Budget and Railway Budget were merged and presented together.

ARTICLES RELATED TO BILLS

- Article 107 :** Provisions as to introduction & passing of Bills
- Article 108 :** Joint sitting of both Houses in certain cases
- Article 109 :** Special procedure in respect of Money Bills
- Article 110 :** Definition of "Money Bills"
- Article 111 :** Assent to Bills
- Article 112 :** Annual financial statement
- Article 113 :** Procedure in Parliament with respect to estimates
- Article 114 :** Appropriation Bills
- Article 115 :** Supplementary, additional or excess grants
- Article 116 :** Votes on account, votes of credit & exceptional grants
- Article 117 :** Special provisions as to financial Bills
- Article 118 :** Rules of procedure
- Article 119 :** Regulation by law of procedure in Parliament in relation to financial business
- Article 120 :** Language to be used in Parliament
- Article 121 :** Restriction on discussion in Parliament
- Article 122 :** Courts not inquire into proceedings of Parliament